

 Masterclass Day 9

Mastering Trading Sessions

When and how the stock market actually operates behind the scenes.

Waking Up the Market: **Pre-Open Session**

The market doesn't just magically open at 9:15 AM. The Pre-Open session happens from **9:00 AM to 9:15 AM** to absorb overnight news and settle initial panic.

- » **Order Entry (9:00 - 9:08 AM):** You can place, modify, or cancel orders. This establishes demand and supply.
- » **Order Matching (9:08 - 9:12 AM):** The exchange stops accepting new orders. It calculates the equilibrium price where maximum trades can happen.
- » **Buffer Period (9:12 - 9:15 AM):** A cooling-off period to ensure a smooth transition into normal trading.



The Main Event: **Normal Session**

Continuous Trading

Running strictly from **9:15 AM to 3:30 PM**, this is the core of the trading day where retail and institutional investors actively buy and sell.

Orders are matched on a bilateral continuous basis—price-time priority dictates exactly who gets their orders filled first.

Volume & Volatility

The first 30 minutes (9:15 to 9:45 AM) and the last 30 minutes (3:00 to 3:30 PM) typically see the highest volatility and volume.

Pro Tip: Beginners are often advised to avoid the very first 15 minutes to let the opening erratic swings settle down.

Wrapping Up: **Closing Session**



Post-Market Window

Trading ends at 3:30 PM, but the market officially closes later. The **3:30 PM to 4:00 PM** window has two specific phases.

Closing Price Calculation (3:30 - 3:40 PM): The exchange calculates the official closing price by taking the weighted average of prices from the last 30 minutes of trading.

Post-Closing Trades (3:40 - 4:00 PM): You can still place buy/sell orders, but they will *only* execute at the calculated official closing price, provided there are buyers/sellers available.

Institutional Moves: **Block Deal**

₹10 Cr+

MINIMUM TRADE VALUE

Exclusive Trading Window

A Block Deal is a massive, single trade involving at least 5 Lakh shares or a minimum value of ₹10 Crores.

Why it matters: To prevent extreme price manipulation for retail traders, these deals happen in a separate, dedicated trading window (typically 8:45 AM to 9:00 AM, and an afternoon slot).

Because they happen off the main screen, Block Deals don't immediately distort the regular market price.

Following the Whales:

Bulk Deal

Unlike Block Deals, a **Bulk Deal** happens directly in the normal trading session, visible to everyone on the screen.

The Definition: It qualifies as a bulk deal when a single transaction accounts for **more than 0.5%** of the total listed shares of that company.

Market Impact: Because these are executed in the open market, they can create massive volatility and swing retail sentiment heavily in one direction.



Market Brakes: **Circuit Filters**



Upper Circuit

The maximum allowed percentage a stock can rise in a single day. If hit, trading halts upwards because there are only buyers and zero sellers.



Lower Circuit

The maximum allowed drop in a day. If hit, trading halts downwards because there is extreme panic, with only sellers and zero buyers.



The Purpose

Set by the exchange (usually 5%, 10%, or 20%), these act as shock absorbers to protect retail investors from irrational euphoria or market crashes.

Great Job on Day 9!

Tomorrow: The Settlement Process - T+1 Explained.

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